DE–435 **11**

DISTANCE EDUCATION

M.B.A. (IM) DEGREE EXAMINATION, DECEMBER 2014.

First Semester

MANAGEMENT CONCEPTS

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Is management art or science? Comment.
2. How are plans making effective?
3. State the various bases of departmentation.
4. What are the salient features of informal organisation?
5. Explain the importance of directing.
6. Enumerate the objectives of controlling.
7. Narrate the concept of integrated control.
8. What are strategic alliances? State their forms.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Comment on the statement that management is concerned with ideas, things and people.
10. Discuss in detail the various components of planning.

11. Explain the need and importance of organisational structure.

12. State and explain the techniques of controlling.

13. Discuss the importance of directing.

14. Enumerate the steps involved in controlling.

15. Examine the recent trends and perspectives in management.

DE–436 **12**

DISTANCE EDUCATION

M.B.A. (IM) DEGREE EXAMINATION, DECEMBER 2014.

First Semester

ORGANISATIONAL BEHAVIOUR

(2005 Onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What are the elements of organisational behaviour?
2. State the characteristics of perceived.
3. What are group norms? Explain.
4. Are leaders born or made? Comment.
5. Narrate the sources and consequences of stress.
6. What are the factors affecting organisational climate?
7. Explain the nature of organisational change.
8. State the characteristics of organisational development.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain in detail the approaches to organisational behaviour.
10. Discuss the perceptual process in detail.
11. Analyse the barriers in organisational communication.

12. Examine how power is effectively used.

13. Narrate the approaches to organisational effectiveness.

14. Why do people resist for change? Explain how organisational is managed.

15. What is leadership? State its characteristics. Analyse the various styles of leadership stating their merits and drawbacks.

DE–437 **13**

DISTANCE EDUCATION

M.B.A.(IM) DEGREE EXAMINATION,
DECEMBER 2014.

First Semester

MANAGERIAL ECONOMICS

(2005 Onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Is managerial economics positive or normative? Explain

2. How does managerial economics help make decisions in business?

3. Distinguish between autonomous demand derived demand. Give examples.

4. Explain the concept of cost function.

5. State the rationale of price discounts.

6. Point out the nature of investment analysis.

7. Explain the terms GNP, NNP and per capita income.

8. Why is deflation caused? Explain.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. 'Managerial economics is inter disciplinary in nature'– Discuss.

10. State and explain the law of demand. Point out its applications in business management.

11. Outline the objectives of cost control. What are the areas of cost control?

12. Show diagrammatically the price and output determination under perfect competition.

13. What are the merits and drawbacks of profit maximisation objective?

14. Explain the cost volume profit analysis. State its exceptions.

15. Enumerate the causes of adverse BOP. Suggest remedies for adverse BOP situation.

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DE–438 **14**

DISTANCE EDUCATION

M.B.A. (IM) DEGREE EXAMINATION, DECEMBER 2014.

First Semester

QUANTITATIVE METHODS

(2005 Onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Give an example of a constant function on N. Is a constant function an one to one function or many to one function?

2. Explain the term duality in LPP.

3. State and explain the various types of LPP.

4. Narrate the steps involved in carrying out Monte – Carlo simulation.

5. Write the criteria for decision making under uncertainty.

6. The cost of manufacturing a particular item is given by $C = x^2 - 70x + 2500$ where X denotes the number of units of the item and is C is the cost per item. How many units the company should produce in order that the cost per unit is the minimum. What is the minimum cost per unit?

7. Solve the following LPP by Graphical method :

$$\text{Min } Z = 3x_1 + 2x_2$$

$$5x_1 + x_2 \geq 10$$

Subject to

$$x_1 + x_2 \geq 6$$

$$x_1 + 4x_2 \geq 12$$

$$x_1, x_2 \geq 0.$$

8. A sub-committee of 6 members is to be formed out of a group consisting of 7 men and 4 women. Calculate the probability that the sub – committee will consists of (a) exactly 2 women, (b) atleast 2 women.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Write short notes on :

(a) Variables.

(b) Quantitative analysis.

10. Explain the sensitivity analysis for decision making.

11. The cost function for producing X units of a product is $C(x) = x^3 - 12x^2 + 48x + 11$ (in rupees) and the revenue function is $R = 83x - 4x^2 - 21$. Find the output for which profit is maximum.

12. Solve the following LPP using simplex method.

$$\text{Max } Z = 2x_1 + 5x_2$$

Subject to

$$x_1 + 4x_2 \leq 24$$

$$3x_1 + x_2 \leq 21$$

$$x_1 + x_2 \leq 9$$

$$x_1, x_2 \geq 0.$$

13. Two urns contain respectively 10 white, 6 red and 9 black balls and 3 white, 7 red and 15 black balls. One ball is drawn from each urn. Find the probability that (a) both balls are red (b) both balls are of the same colour.

14. Suppose the demand for a particular item is 100 units with a standard deviation of 10 units, simulate the demand for next 10 days and find the average demand. Use the random numbers. 68, 95, 06, 36, 24, 71, 42, 78, 92, 33.

15. The demand for a seasonal product is as given below :

Demand during the season	40	45	50	55	60	65
Probability	0.10	0.20	0.30	0.25	0.10	0.05

The product costs Rs. 60 per unit and sells at Rs. 80 per unit. If the units are not sold with in the season, they will have no market value.

(a) Determine the optimum number of units to be produced.

(b) Calculate EVPI and interpret it.

DE–439 **15**

DISTANCE EDUCATION

M.B.A. (IM) DEGREE EXAMINATION, DECEMBER 2014.

First Semester

FINANCIAL ACCOUNTING

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the functions of accounting?

2. Why are subsidiary books prepared?

3. What is single entry system? State its limitations.

4. Write the format of a company balance sheet.

5. Explain the terms (a) amalgamation (b) reconstruction.

6. How do you create an account group in tally?

7. Prepare Trial Balance from the following ledger balances for the year ending 31.3.2011

	Rs.		Rs.
Capital	50,000	Plant & Machinery	80,000
Sales	1,77,000	Purchases	60,000
Return outward	750	Return inward	1,000
Stock (1-4-2010)	30,000	Discount (Dr.)	350
Discount (Cr.)	800	Bank Charges	75
Debtors	45,000	Creditors	25,000
Salaries	6,800	Carriage inwards	750
Wages	10,000	Carriage outwards	1,200
Bad debts provision	525	Rent and taxes	10,000
Advertisement	2,000	Cash in hand	9,000
		Cash at Bank	6,000

8. From the following particulars, find out net credit purchases :

	Rs.
Opening Balance of sundry creditors	40,000
Payment by cheques	2,35,000
Payment by bills payable	25,000
Payment in cash	5,000
Discount received	2,500
Purchase returns	5,000
Closing balance of sundry creditors	47,500

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. State and explain the various Accounting concepts.

10. Explain the law relating to calculation of managerial remuneration.

11. How is Fund Flow Statement Prepared in Tally?

12. Enter the following transactions in the journal and ledger of Hans Raj of Chennai.

2010		Rs.
Mar. 1	Hans Raj commenced business with cash	30,000
3	Purchased goods for cash	1,500
4	Deposited into bank	21,000
5	Withdrew from bank for office use	1,500
6	Sold goods to Ramu	1,500
10	Purchased goods on credit from Kannan	680
19	Received from Ramu Rs. 1,470 and allowed him discount	30
20	Cash sales	2,400
27	Paid to Kannan in full settlement	650
28	Paid Rent	150
	Paid Salary	300

Accounts are closed on 31st March 2010.

13. Mrs. K. James Commenced business as a cloth merchant on 1.1.2012 with a capital of Rs.10,000. On the same day she purchased furniture and fittings for cash Rs. 3,000. From the following particulars obtained from her books kept by Single entry, you are asked to prepare a Trading and P and L a/c and Balance Sheet as on 31.12.2012.

	Rs.
Sales (inclusive of Cash Rs. 7,000)	17,000
Purchases (inclusive of Cash Rs.4,000)	15,000
Mrs. K. Jame's Drawings	1,200
Salaries	2,000
Bad debts written off	500
Business expenses	700

Mrs. K. James took cloth worth Rs.500 from the shop for private use and paid Rs. 200 to her son but omitted to record these transactions in her books. On 31.12.2012 her sundry debtors were Rs. 5,200 and sundry creditors Rs.3,600. Stock in hand on 31.12.2012 Rs. 6,500.

14. The following Trial Balance of Nallis Ltd. as at 31-3-2011 is given to you :

Debits	Rs.	Credits	Rs.
Stock (1-4-2010)	80,000	8,000 equity shares of	
Bank	17,600	Rs.100 each, Rs.75 paid	6,00,000
Patents	60,000	6% debentures	2,00,000
Calls-in-arrears	20,000	Sundry creditors	1,00,000
Returns		General reserve	80,000
inwards	30,000	Sales	10,00,000

Debits	Rs.	Credits	Rs.
Purchases	7,72,000	Returns outward	20,000
Wages	1,08,000	P & L A/c (Cr)	12,000
Insurance prepaid	400		
Bills receivable	30,000		
Sundry Debtors	80,000		
Discount on issue of debentures	10,000		
Plant & Machinery	4,00,000		
Land & Buildings	3,00,000		
Insurance	4,000		
General expenses	40,000		
Establishment expenses	60,000		
	20,12,000		20,12,000

Additional information :

(a) The value of stock on 31-3-2011 was Rs.74,000

(b) Outstanding wages Rs.10,000

(c) A provision 5% is to created on sundry debtors for doubtful debts

(d) Depreciate patents @ 10% and Plant & Machinery @ $7\frac{1}{2}$% and on Land and Buildings @ 4%.

You are required to prepare Trading and Profit & Loss Account for the year ended 31.3.2011 and Balance Sheet as on that date.

15. The Balance Sheet of Kavitha Industries Ltd. as at 31.12.2011 was follows :

Liabilities	Rs.	Assets	Rs.
Share Capital			
2,000 preference shares of		Goodwill	15,000
Rs. 100 each	2,00,000	Freehold	
4,000 equity shares of		properties	2,00,000
Rs.100 each	4,00,000	Plant &	
5% mortgage debentures	1,00,000	Machinery	3,00,000
Bank overdraft	50,000	Stock	50,000
Creditors	1,00,000	Debtors	40,000
		P and L a/c	2,45,000
	8,50,000		8,50,000

The company got the following scheme of capital reduction approved by the Court.

(a) The preference shares to be reduced to Rs.75 per share, fully paid up and the equity shares to Rs. 37.50

(b) The debenture holders took over the stock and book debts in full satisfaction of the amount due to them

(c) The goodwill a/c is to be eliminated

(d) The freehold properties to be depreciated by 50%

(e) The value of the Plant and Machinery to be increased by Rs. 50,000

Give journal entries for the above and prepare the revised Balance Sheet.

DE–440 **21**

DISTANCE EDUCATION

M.B.A. (IM) DEGREE EXAMINATION, DECEMBER 2014.

Second Semester

MANAGEMENT ACCOUNTING

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the scope of Management Accounting.

2. What are financial statements? State its limitations.

3. Distinguish between fund flow statement and cost flow statement.

4. State the advantages of Marginal Costing.

5. Calculate :

   (a) Gross profit ratio

   (b) Operating ratio

   (c) Operating profit ratio

   (d) Net profit ratio.

	Rs.
Sales	21,000
Sales returns	1,000
Cost of sales	16,400
Interest expenses (non-operating)	100

	Rs.
Income from investments	200
Administration expenses	1,300
Selling expenses	700
Depreciation	200

6. From the following particulars, prepare a funds flow statement.

   Increase in working capital Rs. 4,000; Net Profit before writing off goodwill Rs. 10,750; Depreciation on fixed assets Rs. 1,750; Dividend of the previous year paid Rs. 3,500; Goodwill written off Rs. 5,000 shares issued for cash Rs. 5,000; Purchase of machinery Rs. 10,000.

7. The Sales Director of a manufacturing company report that next year he expects to sell 50,000 units of a particular product.

   The production Manager consults the Storekeeper and costs his figures as follows:

   Two kinds of raw materials A and B, are required for manufacturing the product. Each unit of the product requires 2 units of A and 3 units of B. The estimated opening balances at the commencement of the next year are:

   Finished product : 10,000 units

   Raw materials : 12,000 units, B : 15,000 units

   The desirable closing balances at the end of the next year are :

   Finished product 14000 units, A : 13,000 units

   B : 16,000 units

   Prepare Production Budget and Materials Purchase Budget for the next year.

8. The statement of cost of a cycle is as follows:

	Rs.		Rs.
Material	200	Fixed expenses	75
Labour	100	Profit	125
Variable expenses	25	Selling price	525

The number of cycles made and sold are 10,000 units,

Find out:

(a) Break even point

(b) How many cycles must be produced and sold if the selling price is reduced by 25 and the same profit is maintained?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Define Management Accounting. How does it differ from Cost Accounting?

10. Discuss profitability ratios with examples.

11. Enumerate the procedure for the preparation of Fund Flow Statement.

12. Convert the following Balance Sheets into common size Balance Sheet and interpret the results:

Balance Sheets
As on 31st March 2011 and 2012

(Amounts in lakhs)

Liabilities	2011 Rs.	2012 Rs.	Assets	2011 Rs.	2012 Rs.
Equity share capital	1,000	1,200	Current Assets :		
Capital Reserve	90	185	Debtors	450	390
General Reserve	500	450	Cash	200	15

Liabilities	2011 Rs.	2012 Rs.	Assets	2011 Rs.	2012 Rs.
Sinking Fund	90	100	Stock	320	250
Debentures	450	650	Investments	300	250
Sundry Creditors	200	150	Fixed Assets :		
Others	15	20	Building less		
			Depreciation	800	1,400
			Land	198	345
			Furniture and		
			Fixtures	77	105
	2,345	2,755		2,345	2,755

13. The comparative Balance Sheets of M/s. Ram Brothers for the two years were as follows:

Liabilities	December 31 2011 Rs.	December 31 2012 Rs.	Assets	December 31 2011 Rs.	December 31 2012 Rs.
Capital	1,50,000	1,75,000	Land and		
Loan from bank	1,60,000	1,00,000	building	1,10,000	1,50,000
Creditors	90,000	1,00,000	Machinery	2,00,000	1,40,000
Bills payable	50,000	40,000	Stock	50,000	45,000
Loan from SBI	–	25,000	Debtors	70,000	80,000
			Cash	20,000	25,000
	4,50,000	4,40,000		4,50,000	4,40,000

Additional information :

(a) Net Profit for the year 2012 amounted to Rs. 60,000.

(b) During the year a machine costing Rs. 25,000 (accumulated depreciation Rs. 10,000) was sold for Rs. 13,000. The provision for depreciation against machinery as on 31.12.2011 was Rs. 50,000 and on 31.12.2012 Rs. 85,000.

You are required to prepare a cash flow statement.

14. The expenses for budgeted production of 10,000 units in a factory are furnished below:

	Per unit Rs.
Material	70
Labour	25
Variable Overheads	20
Fixed Overheads (1,00,000)	10
Variable expenses (Direct)	5
Selling Expenses (10% Fixed)	13
Distribution Expenses (20% fixed)	7
Administration Expenses	5
Total Cost per unit	155

Prepare a budget for production of:

(a) 8,000 units

(b) 6,000 units

(c) Indicate cost per unit at both the levels.

Assume that administration expenses are fixed for all levels of production.

15. Following information has been made available from the cost records of United Automobiles Ltd. manufacturing spare parts.

Direct Materials	Per unit
X	Rs. 8
Y	6

Direct wages

X	24 hours at 25 paise per hour
Y	16 hours at 25 paise per hour

Variable overheads	150% of wages
Fixed overheads	Rs. 750
Selling price	
X	Rs. 25
Y	20

The directors want to be acquainted with the desirability of adopting any one of the following alternative sales mixes in the budget for the next period.

(a) 250 units of X and 250 units of Y

(b) 400 units of X and 100 units of Y

(c) 400 units of Y only

(d) 150 units of X and 350 units of Y

State which of the alternative sales mixes you would recommend to the management.

DE–441 **22**

DISTANCE EDUCATION

M.B.A.(IM) DEGREE EXAMINATION,
DECEMBER 2014.

Second Semester

BUSINESS LAWS

(2005 Onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Define the term contract. Explain its nature.

2. State the rules laid down in clayton's case.

3. Distinguish between indemnity and guarantee.

4. What are conditions? How are they different from warranties?

5. Explain the functions of consumer protection councils.

6. Narrate the tests of partnership.

7. What are marine perils? Explain.

8. Point out the essentials of valid meeting.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. "Every contract is an agreement but every agreement is not a contract" Discuss.

10. "Surety's liability is co–extensive to that of principal debtor"– Elucidate.

11. Distinguish sale from agreement to sell.

12. Explain the modes of dissolution of partnership firm.

13. Narrate the nature and scope of law of insurance.

14. Examine the different kinds of meetings.

15. Explain the provisions relating to quasi–contract.

DE–442 **23**

DISTANCE EDUCATION

M.B.A. (IM) DEGREE EXAMINATION, DECEMBER 2014.

Second Semester

MANAGEMENT INFORMATION SYSTEM

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What is system analysis? Explain its characteristics.

2. Explain briefly the approaches to MIS development.

3. Distinguish between MIS and data processing.

4. Bring out the relationship between MIS and decision support system.

5. Examine the utility of on line services.

6. Explain the concept of client server computing.

7. State the features of wide area network.

8. Analyse the benefits of Internet.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Write an elaborate note on development and implementation testing and conversion.

10. Analyse the pre-requisites of an effective MIS.

11. Comment on MIS in Indian organisations.

12. What are the advantages and drawbacks of video conferencing?

13. Explain the relevance of ERP systems.

14. Discuss the nature and scope of website management.

15. Examine the various system concepts with suitable illustration.

DE–443 **24**

DISTANCE EDUCATION

M.B.A. (IM) DEGREE EXAMINATION, DECEMBER 2014.

Second Semester

RESEARCH METHODS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the significance of research in social sciences.

2. What criteria should a research problem satisfy?

3. State the various sources of Hypothesis.

4. Point out the factors affecting the size of the sample.

5. How does primary data differ from secondary data?

6. Briefly explain the types of interview.

7. Enumerate the guidelines for making valid interpretation.

8. Explain the criteria for evaluating research report.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Briefly explain the various types of research.

10. What is meant by Research Design? Work out a routine procedure for it which is practical for administrative purpose in applied research.

11. State and explain the various probability sampling methods.

12. What sampling errors? How could these errors be minimised?

13. What is meant by schedule? State its essentials. Explain the procedure for the formulation of a schedule.

14. Explain how the following scales are constructed :

    (a) Likert scale

    (b) Thurstone's scale.

15. Discuss the various types of report and explain its uses.

DE–444 **25**

DISTANCE EDUCATION

M.B.A. (IM) DEGREE EXAMINATION, DECEMBER 2014.

Second Semester

FINANCIAL MANAGEMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Define Financial Management. Explain its significance.

2. What are preference shares? Enumerate the different types of preference shares.

3. Explain the various types of working capital.

4. Briefly explain the objectives of inventory management.

5. Explain the assumptions of Gordon's dividend model.

6. Investment data for a new product are as follows :

   Capital outlay ₹ 2,00,000

   Depreciation 20% pa. on written down value basis

   Forecasted annual income before charging depreciation but after all other charges are as follows :

Year	₹
1	1,00,000
2	1,00,000
3	80,000
4	80,000
5	40,000
	4,00,000

   Calculate Accounting rate of return. Ignore taxation.

7. Sunrise Ltd issues ₹ 50,00,000, 12% redeemable debentures at a discount of 10%. The floatation costs are 4% and the debentures are redeemable after five years. Calculate before tax and after tax cost of debt assuming a tax rate of 40%.

8. From the following particulars, calculate whether the firm has surplus or deficiency of cash.

	Normal Periods	Peak Periods
Desired days of cash	= 5	4
Average daily outflows	= ₹ 25,000	₹ 50,000
Actual cash balance in hand	= ₹ 1,00,000	₹ 1,50,000

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Discuss the relationship between finance function and other functions.

10. Explain the merits and demerits of term loan as a source of finance.

11. Summarise the factors determining working capital of a business concern.

12. Z Ltd. is considering the purchase of one of the two machines. As the basis for selection, the following data was developed.

	Machine A	Machine B
	₹	₹
Original cost	25,565	25,565
Profit after tax :		
Year 1	687	4,687
Year 2	1,687	3,687
Year 3	2,687	2,687
Year 4	3,687	1,687
Year 5	4,687	687
	13,435	13,435

The expected rate of return for the company is 16%. Both the machines have a life of five years and will not have any salvage value. The company is in the 40% tax bracket.

You are required to calculate NPV and P.V. Index. Suggest the most profitable machine.

Year	1	2	3	4	5
P.V. factor @ 16%	0.862	0.743	0.641	0.552	0.476

13. From the following particulars relating to the capital structure of Blue Ltd, calculate the overall cost of capital, using

(a) Book value weights and

(b) Market value weights.

Sources of funds	Book Value (BV)	Market Value (MV)
Equity share capital	₹ 45,000	₹ 90,000
Retained earnings	15,000	–
Preference share capital	10,000	10,000
Debentures	30,000	30,000

The after-tax cost of different sources of finance is :

Equity share capital 14%; Retained earnings 13%.

Preference share capital 10%; Debentures 8%.

14. A firm has annual credit sales of 15 lakhs. It grants 2 months credit to its customers with no cash discount facility. It intends to offer a discount of 2/10 net 60. It is expected that this will reduce the average collection period to 1 month and 50% of the customers (in value) will take advantage of this benefit. The selling price is ₹ 10 p.u. while the average cost p.u. comes to ₹ 8.60.

You are required to advise the firm regarding the new credit policy. The required rate of return is 25% and one month is of 30 days.

15. The earnings per share of Excellent Ltd. is ₹ 8. The rate of capitalization is 10%. The productivity of retained earnings is 15%.

Computer the market price per share if the payout is 0%, 25%, 50%, 75% and 100%. What inference can be drawn from the above exercise?

DE–445 **31**

DISTANCE EDUCATION

M.B.A. (IM) DEGREE EXAMINATION, DECEMBER 2014.

Third Semester

MANAGEMENT OF FUNDS

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What is meant by fund? Explain how it is allocated.

2. 'Fund management is the barometer of business conditions' – Comment.

3. Write a brief note on yield.

4. State the criteria for effective allocation of funds.

5. Is return on investment as a criterion for allocation of funds? Elucidate.

6. How is inflation treated in capital budgeting?

7. Explain the concept of feasibility study.

8. What are the resources available for investing abroad?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Discuss the role of financial systems.

10. Write an elaborate note on capitalisation and assessment of funds for fixed assets.

11. Bring out the relationship between fund management and other functions.

12. Discuss the planning and control aspects of financial analysis.

13. Analyse the methods of incorporating risks and uncertainty.

14. Describe the impact of capital rationing on financial planning.

15. Explain the nature and scope of foreign currency management.

DE–446 **32**

DISTANCE EDUCATION

M.B.A. (IM) DEGREE EXAMINATION, DECEMBER 2014.

Third Semester

SECURITIES MARKET

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the types of stock exchange?

2. State the functions of DTC.

3. Write a note on :

   (a) Spot trade

   (b) Forward trade.

4. Why is SEBI formed?

5. What is meant by NIFTY? State its features.

6. Specify few bearish trend indicators.

7. How one can use Moving Average to predict the stock price movement?

8. How are investors educated?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. What are the different kinds of brokers operating in the stock exchange? How do they trade securities in the stock exchange?

10. Outline the organisation structure of NSE. Narrate its functions.

11. How has SEBI regulated

    (a) Stock brokers

    (b) Insider trading in the stock exchange.

12. What is meant by 'Average concept' in the stock market? Why is it needed?

13. How is 'BSE National Index' contructed? Explain the procedure involved in it.

14. Write a detailed note on :

    (a) ROC

    (b) Convergence

    (c) Divergence.

15. Explain the role of SEBI in protecting the investors.

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DE–447 **33**

DISTANCE EDUCATION

M.B.A. (IM) DEGREE EXAMINATION, DECEMBER 2014.

Third Semester

INVESTMENT ANALYSIS

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain briefly the concept of investment with suitable illustration.
2. What are varying income securities? Explain.
3. State the need for investment analysis.
4. Mention any four kinds of risk.
5. Write a brief note on share valuation.
6. Analyse the various tools of company analysis.
7. What is confidence index? How is it constructed?
8. Bring out the characteristics of technical analysis.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the nature and goals of investment.
10. Summarise the various financial investment avenues.

11. Discuss the scope of investment analysis in detail.

12. Explain the term risk. How is it computed?

13. Describe the significance of investment analysis.

14. Analyse the tools of fundamental analysis.

15. "Technical analysis is the core of investment analysis"– Discuss.

DE–448 **34**

DISTANCE EDUCATION

M.B.A.(IM) DEGREE EXAMINATION,
DECEMBER 2014.

Third Semester

PORTFOLIO MANAGEMENT

(2005 Onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Is it always possible to construct a portfolio having zero return variable from two component securities having return covariance of minus one?

2. Can all risk be eliminated if a sufficiently large portfolio is held?

3. How does Markowitz theory help in planning an investors portfolio?

4. Under CAPM, What is the efficient set called? State the assumptions of CAPM.

5. Narrate the empirical tests conducted on the different forms of the random walk.

6. State the disadvantages of APT over the CAPM.

7. Explain why arbitrage opportunities must not exist in an efficient market.

8. Since the defensive portfolios will probably have a low yield, how does it aid the investor using a mechanical formula plan?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. What is meant by portfolio management? Briefly explain the various types of portfolio.

10. Explain the nature of portfolio risk if two securities are

    (a) Perfectly positively correlated

    (b) Perfectly negatively correlated.

11. Why are indifference curves of more risk–averse investors more steeply sloped than those of investors with less risk aversion.

12. In the context of the CAPM with unlimited borrowing and lending at the risk free rate of interest? Explain the meaning of the capital market line.

13. Define efficient market hypothesis in each of its three forms. What are its implications?

14. The APT expected return relationship looks much like the security market line which was derived in the CAPM. How would one discriminate between the APT and the CAPM.

15. Is rupee–cost averaging a formula a plan? At what point in the buildings of a portfolio is the impact of rupee–cost averaging greatest? Prove this by making up an example of your own.

DE–449 **35**

DISTANCE EDUCATION

M.B.A. (IM) DEGREE EXAMINATION, DECEMBER 2014.

Third Semester

FINANCIAL SERVICES AND INSTITUTIONS

(2005 Onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain briefly the nature of financial services.
2. State the need for global integration of financial market.
3. Bring out the salient features of leasing.
4. Define factoring. State its types.
5. What is underwriting? Point out its objectives.
6. Distinguish between merger and takeover.
7. Enumerate the SEBI guidelines for credit rating services.
8. What are NBFCs? State its characteristics.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Discuss the strengths and weaknesses of finance companies.
10. Describe the fund based and non fund based financial services of commercial banks.

11. Explain the significance of venture capital.

12. Assess the role of corporate advisory services.

13. Narrate the nature and scope of portfolio management.

14. What is the role played by NBFCs? Explain.

15. State and explain the types of mutual fund and their relative merits and drawbacks.

DE–450 **36**

DISTANCE EDUCATION

M.B.A. (IM) DEGREE EXAMINATION,
DECEMBER 2014.

Third Semester

GLOBAL FINANCIAL MANAGEMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Distinguish between micro and macro aspect of global finance.
2. What are the features of American depository receipts? Explain.
3. Explain the nature of portfolio investment.
4. What are transaction and operating exposures? Explain.
5. Narrate how political risk is handled.
6. Write a brief note on transfer pricing.
7. Who are parties to L/C? Explain briefly.
8. What are options? Distinguish them from futures.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Discuss the functions and achievements of International monetary fund.

10. Explain the utility of equity instruments in detail.

11. Is direct investment beneficial to host economy? Explain.

12. Examine the various techniques of project appraisal.

13. Analyse the tools of cash management.

14. Critically examine the interest rate parity theorem.

15. Explain the features of spot and forward market.

DE–451 **41**

DISTANCE EDUCATION

M.B.A. (IM) DEGREE EXAMINATION, DECEMBER 2014.

Fourth Semester

MUTUAL FUNDS MANAGEMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Distinguish between open ended and close ended mutual funds.

2. State briefly the role of mutual funds in economic development.

3. Point out the need for trust deed.

4. What are the components of Balance sheet?

5. Explain briefly the utility of NAV.

6. Point out the objectives of portfolio management.

7. Mention any four schemes of mutual fund.

8. Write a brief note on US 64 Imbroglio.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Define portfolio. Classify portfolio with suitable illustration.

10. Discuss the rights and duties of trustees.

11. What are the operational activities of mutual fund?

12. Analyse the various investment strategies in practice.

13. 'SEBI regulates mutual funds in various aspects'. What are they? Explain.

14. Narrate the scope of mutual funds in India.

15. State and explain the origin and objectives of unit trust of India.

DE–452 **42**

DISTANCE EDUCATION

M.B.A. (IM) DEGREE EXAMINATION, DECEMBER 2014.

Fourth Semester

INTERNATIONAL BANKING AND FOREIGN EXCHANGE

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Briefly explain the functions of foreign exchange department.

2. Write a note on foreign currency a/c – vostro a/c.

3. Write short notes on UERS.

4. Explain the methods of foreign exchange control.

5. What do you mean by foreign inward remittance payment system?

6. What are the advances given against bills under collection?

7. Explain about the differed payment in imports.

8. Write short notes on SWIM.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. What is foreign exchange? Explain about its administration.

10. How do you select and calculate appropriate forward rate?

11. Explain the highlights of the new foreign trade policy.

12. What are the responsibilities and liabilities of parties to the letter of credit?

13. Describe the incentives provided by banks and financial institutions for foreign trade.

14. Enumerate the services provided by ECGC to importers.

15. State the customs and practices for documentary credits.

DE–453 **43**

DISTANCE EDUCATION

M.B.A. (IM) DEGREE EXAMINATION, DECEMBER 2014

Fourth Semester

GLOBAL INVESTMENT AND INSTRUMENTS

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the need for global investment.

2. Write a brief note on global depository receipts.

3. Why is global equity investment required?

4. State the recent trends in global debt position.

5. Narrate the concept of foreign direct investment.

6. Explain the functions of SEBI.

7. Enumerate the guidelines for Indian investment abroad.

8. What are the SEBI guidelines for foreign institutional investment in India?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. "Global investment is an extended portfolio diversification" – Discuss.

10. Explain the instruments of global equity investment.

11. Discuss the various instruments of global debt investment.

12. Enumerate the factors influencing Indian efforts to attract FDI.

13. Narrate the trends and need for foreign portfolio investment.

14. Examine the importance of NRI investments in India.

15. What are the instruments of major global investment? Explain.

DE–454 **44**

DISTANCE EDUCATION

M.B.A. (IM) DEGREE EXAMINATION, DECEMBER 2014.

Fourth Semester

INVESTMENT AND DERIVATIVES MARKET

(2005 Onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. State the features of debt market in India.

2. Why is debt portfolio management needed?

3. What are the features of equity investment?

4. Explain 'constant growth model' of equity valuation.

5. Mention the earning based models of equity valuation.

6. How does the price of a call option vary with striking price and the time to maturity?

7. Why would the volatility of an underlying stock be an important consideration when purchasing or selling an option?

8. Explain why the futures prices might reasonably thought to equal to expected future spot price.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Discuss the various debt pricing theories.

10. Write a detailed note on :

    (a) Horizon analysis

    (b) Bondswaps.

11. Enumerate the factors governing equity market growth.

12. What is meant by equity valuation? Why is it important?

13. Critically appraise the factors which determine the theoretical value of options highlighting any problems that might be encountered in incorporating them in a formal valuation model.

14. Explain 'futures market'. What is the economic rationale for the existence of such market?

15. Discuss the term 'structure of yield rates' on public debt. What is the yield structure of the government securities in India?

DE–455 **45**

DISTANCE EDUCATION

M.B.A. (I.M) DEGREE EXAMINATION,
DECEMBER 2014.

Fourth Semester

TAXATION

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Define previous year. State and explain its exceptions.

2. Enumerate any eight incomes, which do not form part of total income.

3. What is meant by Entertainment Allowance? State its provisions in the Income Tax Act 1961.

4. How is self-occupied property income computed?

5. What are exempted capital gains?

6. Narrate the features of Indirect taxes.

7. Briefly explain the various methods of calculation of VAT.

8. Explain the various exemptions from service Tax.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. How is residential status of an individual determined? Explain with an example.

10. What are perquisites? Discuss its classification.

11. State and explain ten examples of Income from other sources.

12. Enumerate the expenses, which are allowed in computing taxable profits of a business, and also state expenses or losses, which are not admissible.

13. Explain the different kinds of duties leviable under the customs Act.

14. Define CENVAT. Discuss its scope, advantages and objectives.

15. What are taxable services? How are service taxes levied?